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Short Term Loans and Advances

We need to identify reverse float as a percentage of total assets and one-time recoverable as a percentage of total assets.

Short Term loans And Advances						
Reverse Float/ Total Assets	0.015	0.015	0.019	0.017	0.023	0.017
One time Recoverable						
One time Recoverable/ Total Assets	1.19%	1.19%	2.50%	2.10%	2.11%	1.70%
Look for quality of loans. Write offs in past Check adequate						
Time and form of recoverability						
Any return earned on these loans. Look for effective rate						

We see that the reverse float is zero for each financial year. The one-time recoverables are also very small numbers, as can be seen from the image.

The questions that need to be asked here are-

What percentage of total assets are the reverse float and one-time recoverable

Who are given the loans? What is the reason for loans and advances? We need to understand the counter-party that has received the loan and what is the reason for such loans and advances?

Quality of loans and has the company written off loans and advances in the past? We need to look at the size of the loan and the health/quality of the loan and check for any write-offs. Has the company written off any loans in the past?

